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VENTURE DEBT

AI startups gobbling more than a third of venture debt dollars this year

By [Jacob Robbins](#)

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AI and ML startups are taking a greater share of venture debt funding, receiving 38.4% of the \$30 billion total in US and European value so far this year, according to PitchBook data.

Driven by soaring infrastructure costs and the pressure to sustain high valuations, the venture debt industry is coalescing around AI and ML companies as startups are seeking debt financing at earlier stages.

As overall deal count continues to decline, AI is increasing its overall share, accounting for 21.8% of deal count in 2025. Last year AI startups ate up nearly 1 in 4 venture debt dollars, or 24.9%—\$22.9 billion—and accounted for 18.9% of all deals.

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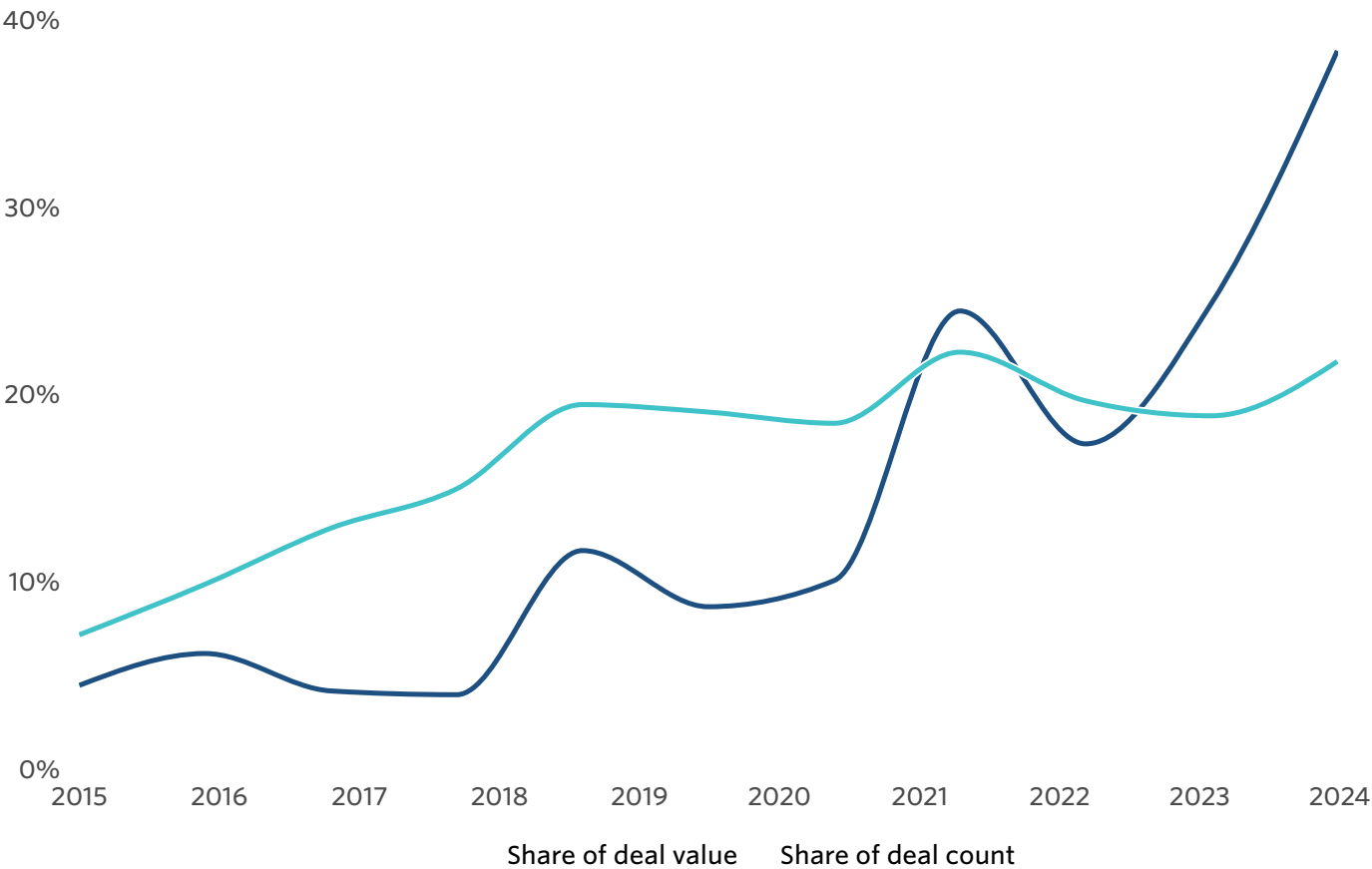
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Generative debt

AI & ML share of US & Europe venture debt activity



Source: PitchBook data • Geography: US and Europe
As of June 16, 2025



The venture debt industry has been on a [recent tear](#), lending a record \$53.3 billion last year, up 94.5% from 2023. It's been driven primarily by later-stage startups struggling to keep up with VCs' growth expectations, and turning to debt to preserve their valuations.

Now, it's earlier-stage AI companies facing a similar problem.

"There are companies coming out of the gate with these large chunky seed rounds. We're seeing a lot of them having an easy time raising big valuations," said Bo Ren, managing director of early-stage startups at [Silicon Valley Bank](#). "But then there's a Series A valuation drop-off because they can't live up to the VC expectations. ... There's definitely more pressure for these companies to grow."

Median pre-money valuations for AI companies continue to rise, according to PitchBook data. So far in 2025, overall median pre-money valuations have reached \$25 million, up from \$15 million in 2024.

The still relatively high costs of resources needed for AI are also playing a role.

"Given the cost of compute, it's very much like the price of gas, it just keeps going up and up," Ren said. "That's where a lot of the venture debt conversations start."

Some of the biggest venture debt transactions have been for companies using the capital to build out data centers and purchase more GPUs. [Crusoe](#), a startup renting out cloud access to Nvidia GPUs, raised a \$750 million credit facility from [Brookfield Asset Management](#) in June for the express purpose of purchasing more chips for its data center expansion.

Lenders' willingness to lend more asset-based money to startups without steady revenue is also boosting dealmaking. Startups like [Lambda Labs](#), which also rents cloud access to Nvidia GPUs, raised a \$500 million "special purpose GPU financing vehicle" collateralized by the chips it already owned, with the intention of buying even more of them.

[CoreWeave](#), a GPU cloud provider that [recently went public](#), raised \$2.3 billion in debt to do the exact same thing. Its loan is also collateralized by its Nvidia GPU stockpile.

But some lenders are sounding the alarm on this model, fearful that these chips could depreciate in their usefulness sooner rather than later.

"How long is the useful life of those chips? If it's 10 years or even seven years, that makes sense," said Paul McKinlay, executive managing director at [CIBC Innovation Banking](#), a venture debt lender. "But if it's two years, that starts to become a tougher proposition."

Featured image by Chole Ladwig/PitchBook News

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About [Jacob Robbins](#)

Reporter Jacob Robbins covers artificial intelligence and the venture capital ecosystem for PitchBook. Based in Seattle, Jacob is originally from Massachusetts and holds dual degrees in political science and cinema studies from the American University. His work has previously appeared in Air Mail and Business Insider.

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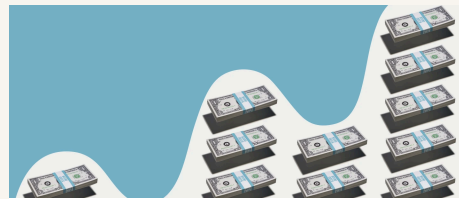


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